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This is another of the quarterly columns for *Straight Talk*, written while I was at the International Monetary Fund in 2004. It reflects my general unease with 'magic bullet' or quick-fix solutions to complex problems. I find that 'magic bullets' often have overlooked collateral effects. The role of the pragmatic economist is to point them out.

Clever Solution: But Will It Work?

Knotty problems abound in economics: For example, how can the poor obtain access to credit? How can international economic and financial policies help to cut short the duration of kleptocratic, despotic regimes? How can we eliminate bank runs? And clever solutions keep bubbling up. Give the poor formal title to their land because that will give them collateral against which to borrow. Declare the debt issued by terrible regimes 'odious' and unenforceable so that investors will be unwilling to finance such regimes in the future. Force banks to hold only liquid, marketable instruments so that they can meet the demands of depositors. The solutions seem ingenious, low-cost responses to the problems posed. Yet they are rarely implemented.

Often, this is not because there is a conspiracy to ignore the solutions, but because both the underlying causes of the problem and the ramifications of the proposed solution are broader than have been allowed for. Not only can the clever proposal not solve the problem, but it also has the unintended consequence of detracting from less attractive, painful reform that is ultimately necessary to solve it. This is not necessarily to say that one shouldn't propose clever ideas or try to implement them, but one should be aware that to have a high probability of working, solutions have to be robust, that is, allow for